



Lessons 1B – Self Read

Real Estate Characteristics, Market and Submarket

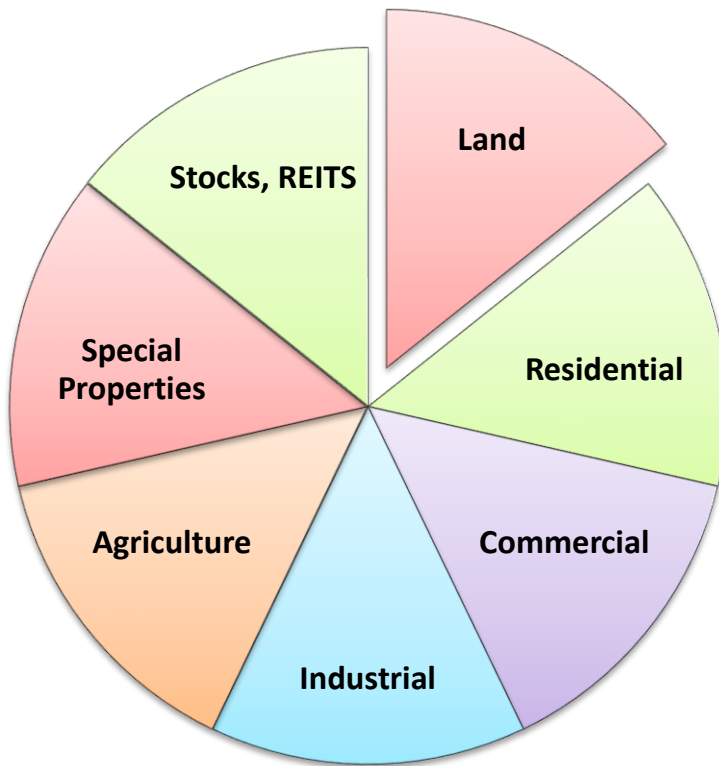
- Understand the characteristics of real estate market as a whole.
- Understand the relationship between property cycle and business cycle.
- Understand the micro and macro-factors affecting supply, demand and prices of properties.
- Understand the functioning of each submarket (by property types, locations and socioeconomic characteristics)
- Source and interpret property supply, transaction statistics/data and other market information.
- Understand the role and functions of various relevant government agencies
- Identify characteristics of real estate vs. real estate investment trusts (REITS) and property stocks.

SEAA has made reasonable efforts to ensure all information provided in the notes is accurate at the time of print. Do be informed this standard set of course material you have received is provided for all students attending our intakes.

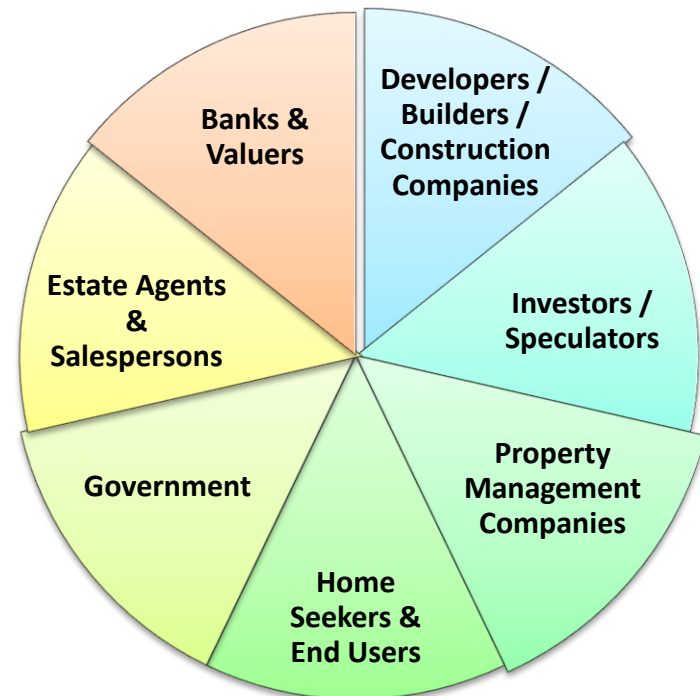
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Introduction to Real Estate Market & Players

Real Estate Market



Real Estate Players



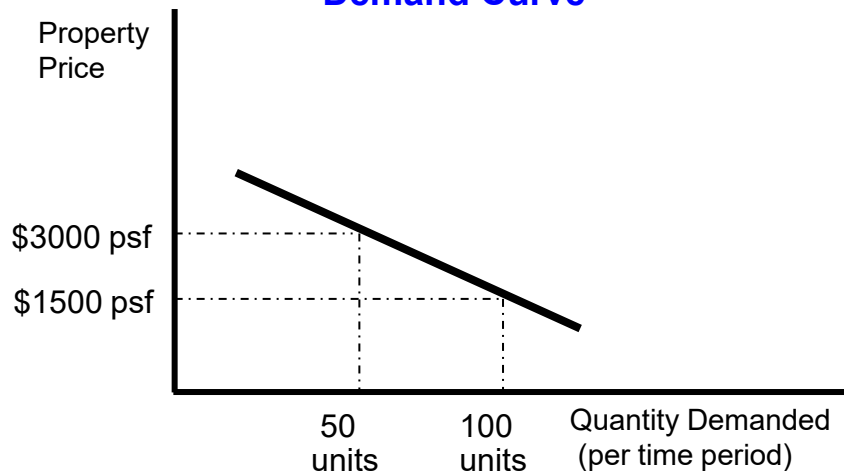
1. A market is defined as a place buyers and sellers meet in which commercial dealings are conducted.
2. The value, cost and price of items traded are as per forces of **supply and demand** in a market. The market may be a physical entity or may be virtual.

Real Estate Market – Law of Demand

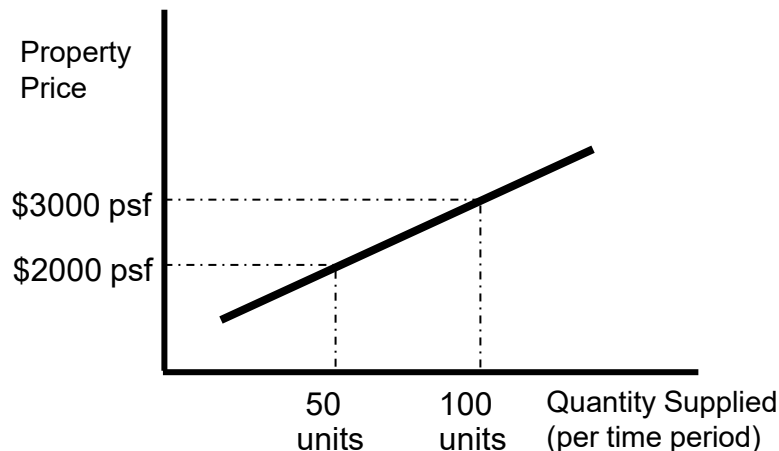
Demand refers to how much (quantity) of a product or service is desired by **buyers, investors, speculators**.

The law of demand states that, if all other factors remain equal, the higher the price of a good, the less people will demand that good. In other words, the higher the price, the lower the quantity demanded

Demand Curve



Supply Curve



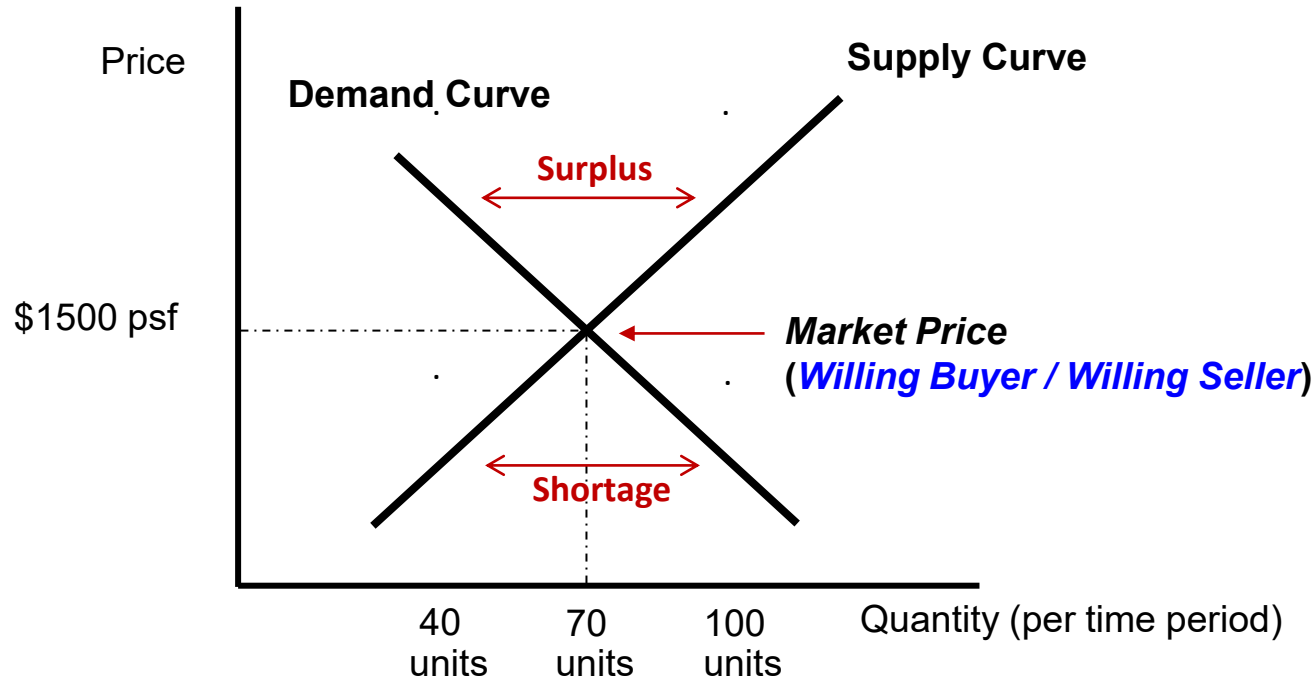
Real Estate Market – Law of Supply

Supply represents how much the market (**government, developer, sellers**) can offer. The quantity supplied refers to the amount of a certain good producers are willing to supply when receiving a certain price.

This means that the higher the price, the higher the quantity supplied. Producers supply more at a higher price because selling a higher quantity at a higher price increases revenue

Real Estate Market – Equilibrium Price

1. Price adjusts to eliminate a shortage or a surplus.
2. **Market Price** is the price at which the quantity demanded equals the quantity supplied.

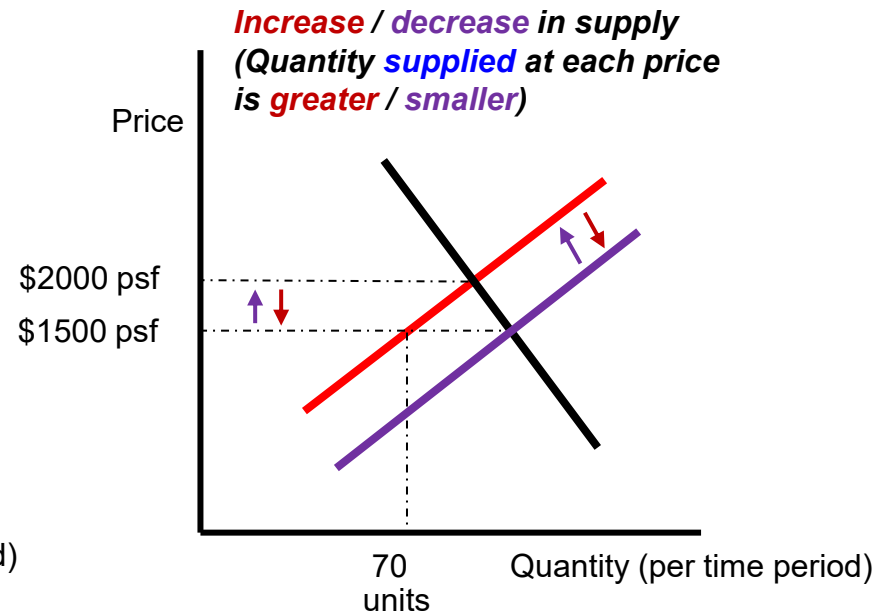
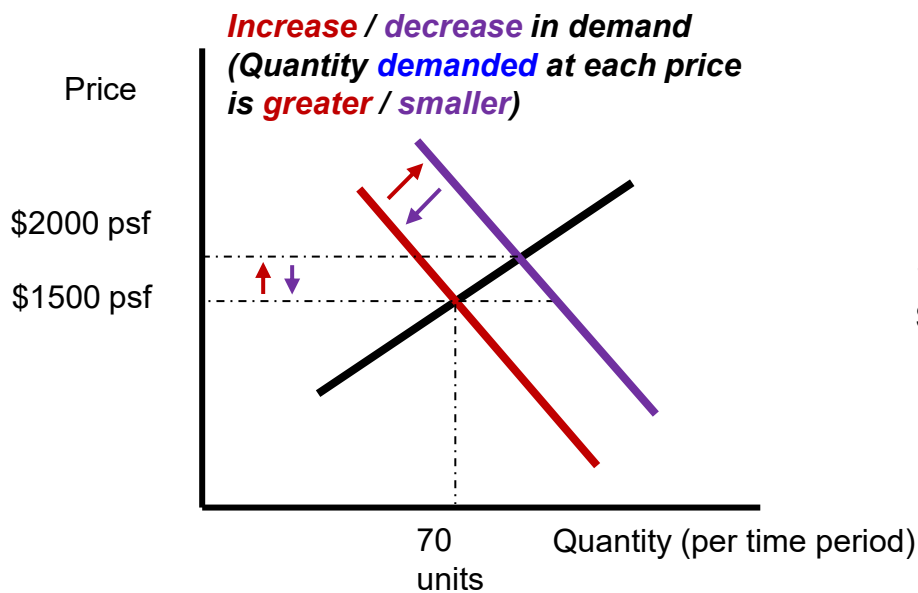


Factors Influencing **Changes in Demand** (Other Than Price)

- 1) Expected future prices e.g. on political / socio-economic considerations
- 2) Income
- 3) Expected future income & credit
- 4) Population

Factors Influencing **Changes in Supply** (Other Than Price)

- 1) Expected future prices e.g. on political / socio-economic considerations
- 2) No. of developers
- 3) Prices of land / building materials
- 4) Construction technology



Macro and Micro Factors influencing Prices

Macro Factors

- 1) Demographics
- 2) Economic
- 3) Government
- 4) Legal
- 5) Political
- 6) Cultural
- 7) International Environment

Micro Factors

- 1) Customers
- 2) Competitors
- 3) Marketing Intermediaries
- 4) Suppliers



Malaysia, Singapore ink agreement to defer high-speed rail project for 2 years; KL to pay S\$15m for suspending work



1 of 2 Coordinating Minister for Infrastructure and Minister for Transport Khaw Boon Wan (left) and Malaysian Economic Affairs Minister Azmin Ali inked the agreement at the Prime Minister's Office in Putrajaya on Sept 5, 2018. PHOTO: LIANHE ZAOBAO

PUBLISHED SEP 5, 2018, 3:20 PM SGT | UPDATED SEP 5, 2018, 6:40 PM

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The property market was gloomy since 2013 and started to pick up after the economy expanded 3.5 per cent at the end of 2017. ST PHOTO: LIM YAOHUI

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It calls moves 'tough', saying market started to pick up only last year

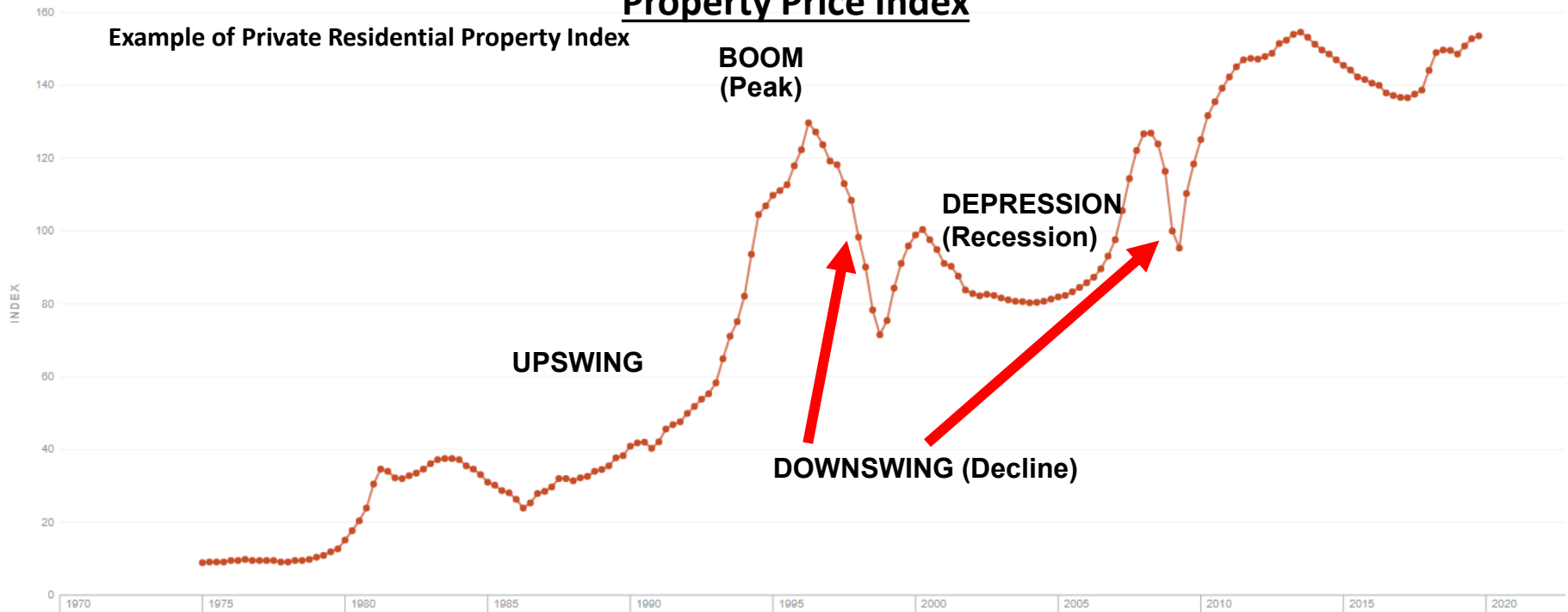
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ST VIDEOS



Property Price Index



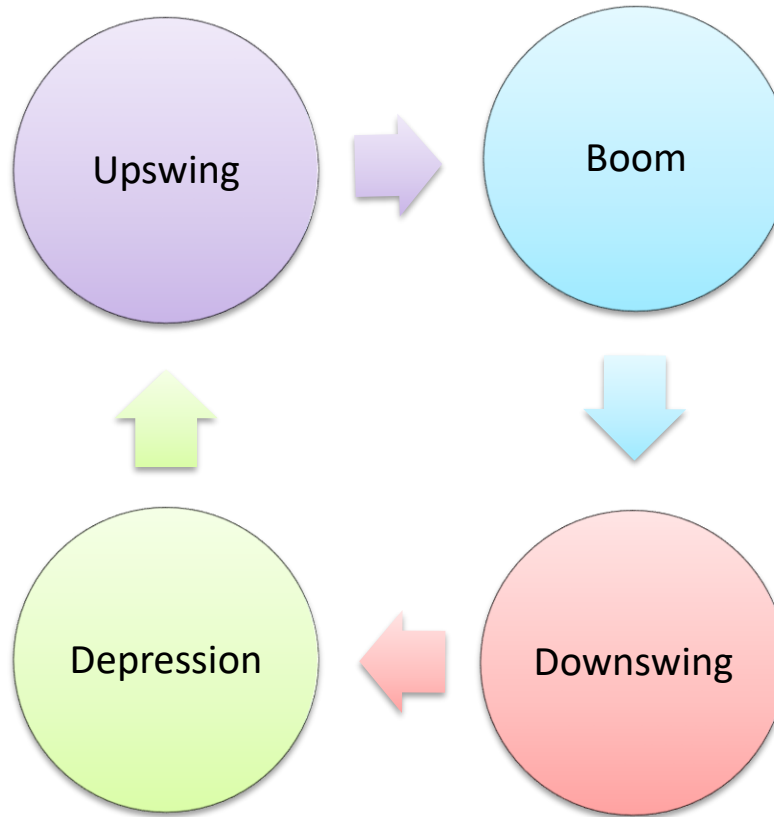
1. Property Price Index is used to track the movement of a real estate market / segment.
2. Shows **Real Estate Cycle** – Is it similar to **Business Cycle** ?
3. Real Estate Statistics
 - URA - Residential & Commercial Properties → REALIS
 - HDB - Public / Resale Flats
 - JTC - Industrial Properties

Characteristics of the Real Estate Market: Cyclical



Upswing

- Increase transaction activities e.g. increase prices, volume, occupancy rates
- It usually represents recovery of property market



Downswing – Contraction

- Slow down of property transactions
- Production slows down, sales start to drop because of a decline in demand

Depression

- slumping prices, **low volumes** and lack of buyers
- It usually represents a prolonged period of low prices and activity

Characteristics of the Real Estate Market: Cyclical

What is Boom ?

Booms refers to the sudden rise in prices of real estate within a short period in the real estate cycle.

Why a boom cannot be sustained?

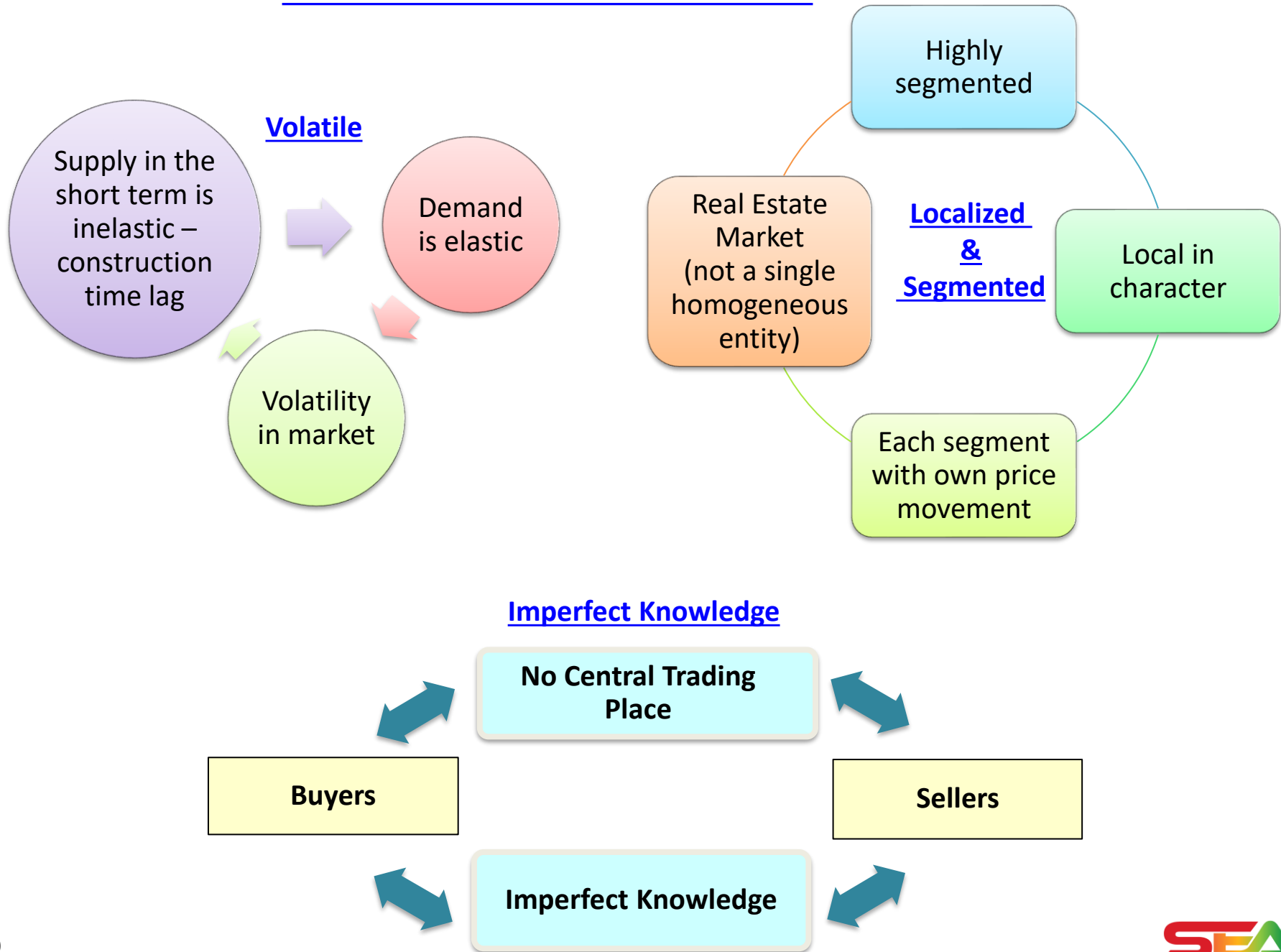
- 1) **Speculation** element sets in (i.e. no real increase in demand; supply keep increasing to cater to “fake” demand; results in over supply situation).

Government monitoring speculation → URA sub-sale transaction data

What is Sub-sale ?

- Buyer signed an agreement to purchase the unit from a developer or a property owner
 - Sale of unit before issuance of these documents:
 - a) **Certificate of Statutory Completion** and
 - b) **Subsidiary Strata Certificates of Title** or **Certificates of Title** for all the units in the development
- 2) Buyers buy beyond their **financial** means and results in **bad debts**.
 - 3) Banks **over lend**, bank's valuation does not show the true market value of the property.

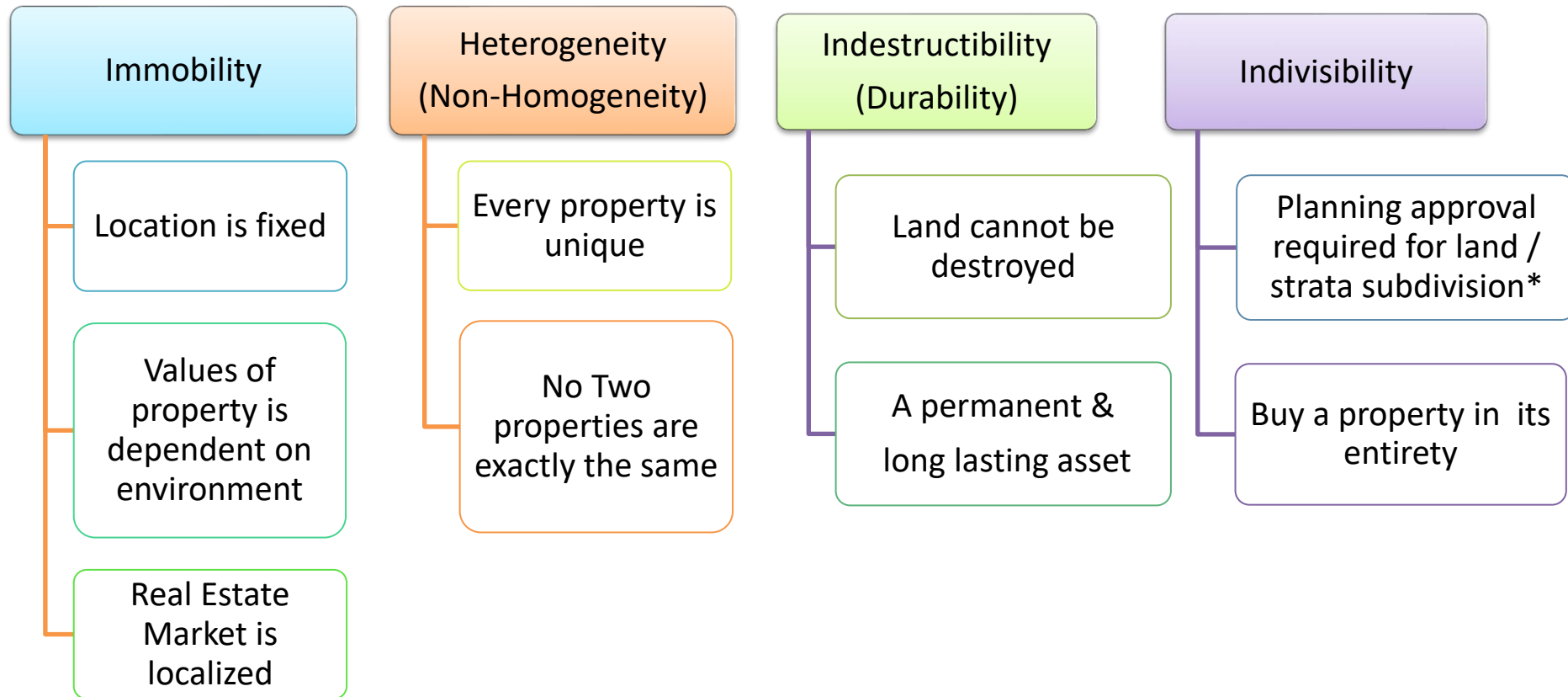
Characteristics of Real Estate Market:



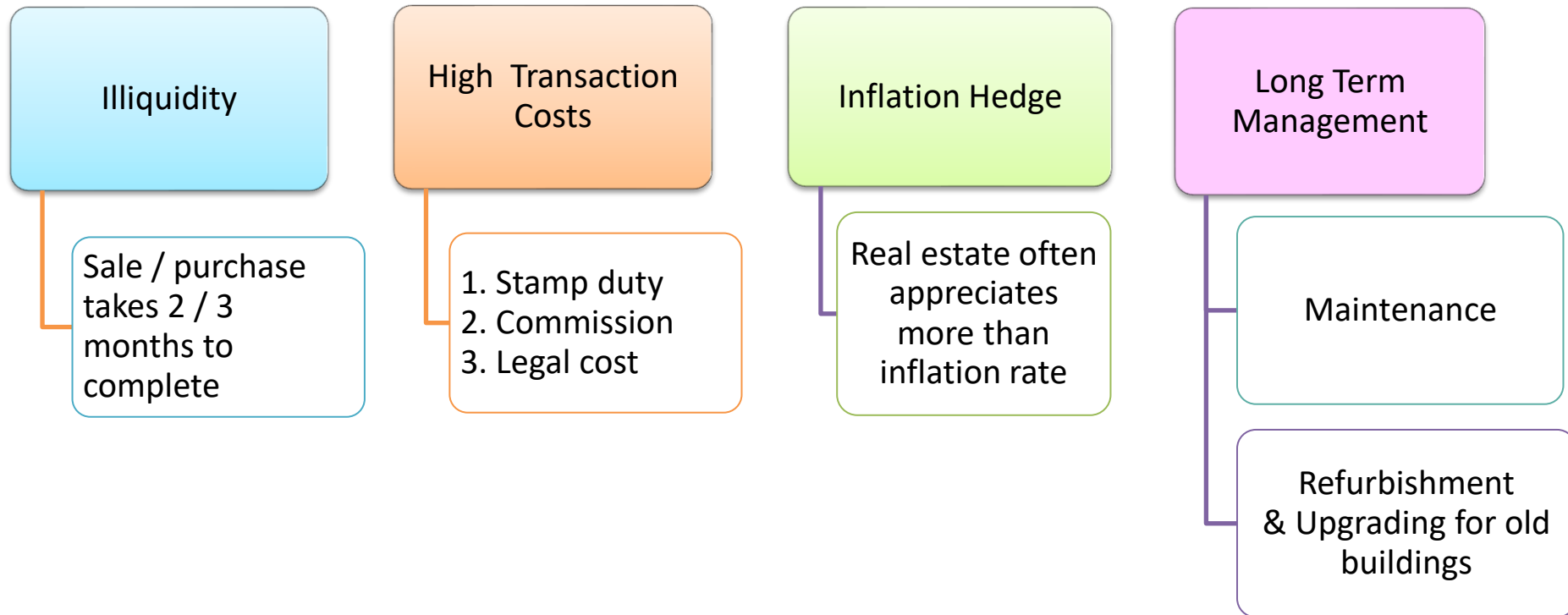
Characteristics of Real Estate Market: Imperfect Knowledge

Project Name	Transacted Price (\$)	Area (SQFT)	Unit Price (\$ PSF)	Sale Date	Street Name	Tenure	Postal District
HOLLAND GROVE	\$ 3,750,000.00	2713.60	1382	Jul-25	HOLLAND GROVE VIEW	99 yrs lease commencing from 1994	10
MCKMAHON PARK	\$ 8,800,000.00	3527.36	2495	Jun-25	JALAN JELITA	999 yrs lease commencing from 1877	10
MING TECK PARK	\$ 6,800,000.00	4028.97	1688	Jun-25	SIXTH AVENUE	999 yrs lease commencing from 1876	10
MCKMAHON PARK	\$ 5,725,000.00	2454.19	2333	Jun-25	HOLLAND ROAD	999 yrs lease commencing from 1877	10
LANDED HOUSING DEVELOPMENT	\$ 25,000,000.00	8250.61	3030	Jun-25	CHATSWORTH AVENUE	Freehold	10
MOUNT SINAI	\$ 9,899,999.00	3911.64	2531	Jun-25	MOUNT SINAI DRIVE	999 yrs lease commencing from 1885	10
SHAMROCK PARK	\$ 10,450,000.00	3232.43	3233	Jun-25	NAMLY AVENUE	Freehold	10
BAN GUAN PARK	\$ 7,300,000.00	3589.79	2034	Jun-25	GREENLEAF DRIVE	Freehold	10
HOLLAND GROVE	\$ 5,500,888.00	5263.60	1045	Jun-25	HOLLAND GROVE VIEW	99 yrs lease commencing from 1994	10
LANDED HOUSING DEVELOPMENT	\$ 9,200,000.00	3734.03	2464	Jun-25	HOLLAND GROVE DRIVE	Freehold	10
LANDED HOUSING DEVELOPMENT	\$ 4,400,000.00	3700.66	1189	Jun-25	NAMLY DRIVE	99 yrs lease commencing from 1992	10
PEIRCE VILLAS	\$ 37,000,000.00	17260.07	2144	May-25	PEIRCE HILL	Freehold	10
CORONATION VILLE	\$ 13,888,000.00	4923.45	2821	May-25	CORONATION ROAD	999 yrs lease commencing from 1875	10
KINGSVILLE	\$ 4,480,000.00	2562.91	1748	May-25	KING'S DRIVE	102 yrs lease commencing from 1996	10
PRINCESS OF WALES PARK	\$ 11,660,000.00	4603.76	2533	May-25	DUCHES ROAD	Freehold	10

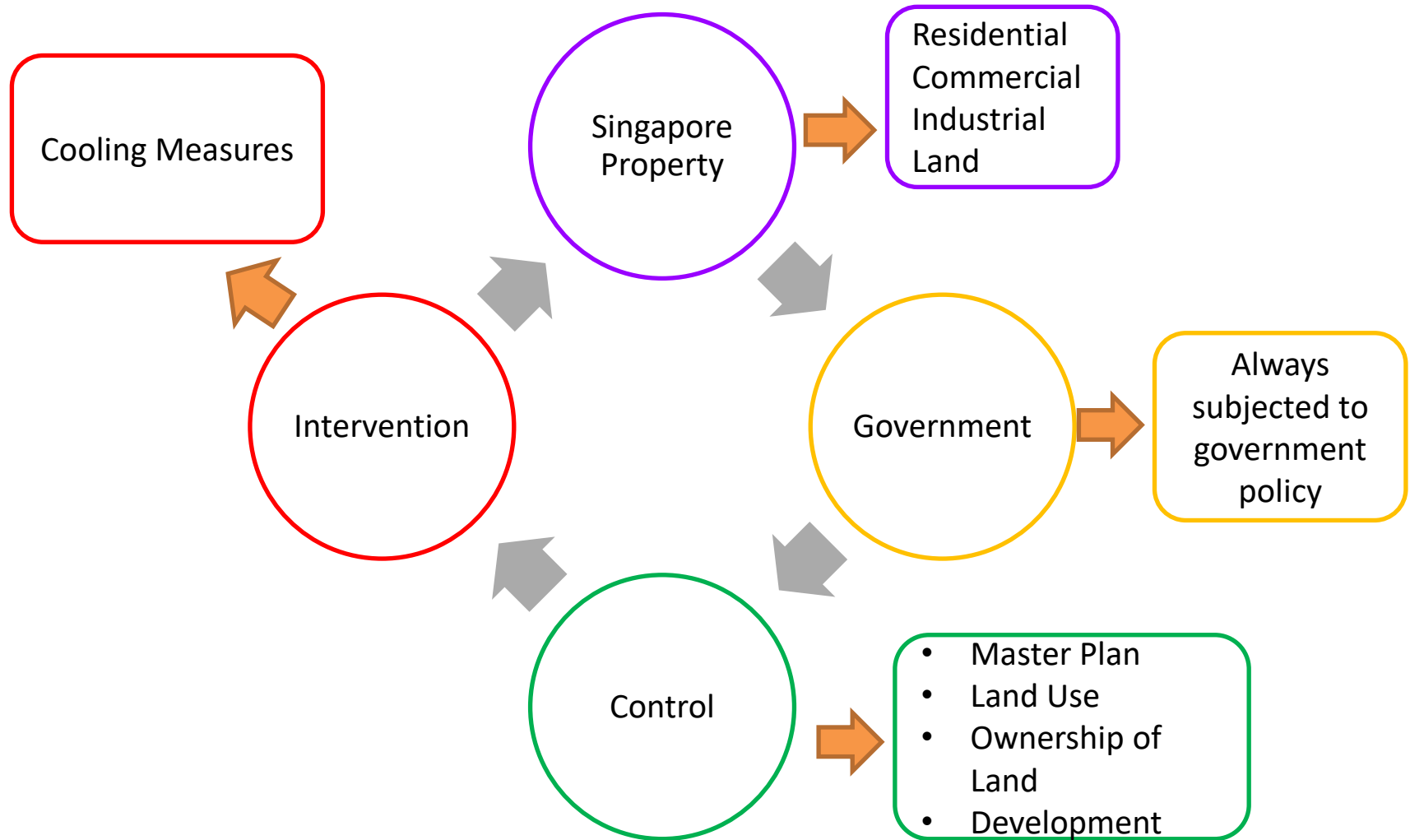
Characteristics of Real Estate – Physical



Characteristics of Real Estate – Economic



Characteristics of Singapore Real Estate – Economic



Characteristics of Real Estate Stocks & REITS



1. One can invest in the real estate market without buying a physical property

Real Estate Stocks

- a) Publicly listed companies use investors' money to run business
- b) Shares of Developers, Estate Agencies, Construction Companies



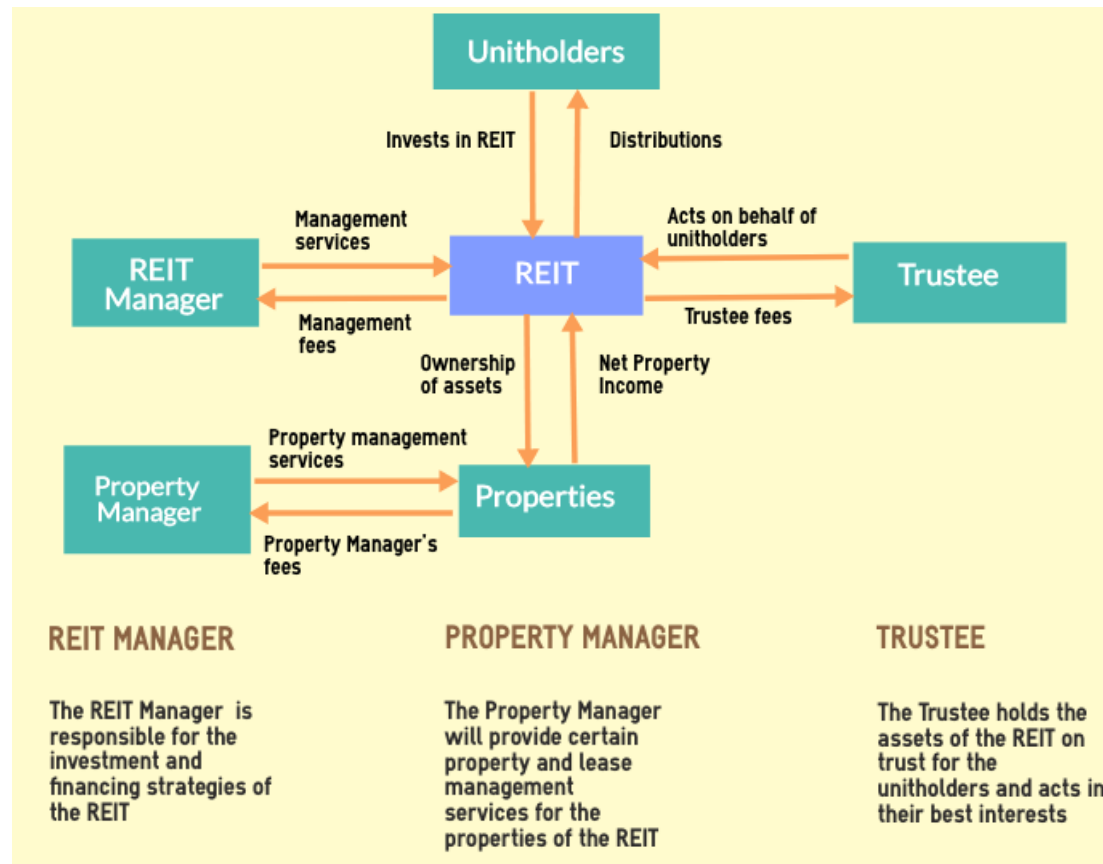
REITs

- a) A real estate investment trust (“REIT”) is a company that owns, operates or finances income-producing real estate
- b) Public listed companies use investors' money to buy income generating properties
→ shopping malls, offices, factories, hotels or serviced apartments



REITS

1. Regulated under Collective Investment Schemes
2. Structured as Business Trusts
3. Investors = unit holders
4. Assets are held by independent trustee on behalf of unit holders
5. Properties are rented out to tenants
6. Majority rental income generating → Unit holders as dividends



Real Estate Investment Trusts vs Real Estate Company Stocks



	REITs	Property Stocks
Business Focus	Investment in income-generating properties	Generally property related, but may diversify into other unrelated activities or industries
Safe Custody of Properties	Properties are held on trust by an independent trustee	Properties are held by the company
Dividend Policy	Must pay out at least 90% of net income after tax	Subject to the decision of the board
Investment and Leverage Guidelines	Subject to the Property Funds Appendix in the Code on Collective Investment Schemes	None
Tax-Exempt Income (dividend)	Yes	No
Management Fees	Yes	No

Test your Knowledge

1. Which of the following factor affects the demand of housing in Singapore ?
 - i. Increase of Tourists
 - ii. Federal Reserve increase interest rate
 - iii. Adjustment of legal conveyance fees
 - iv. Increase of Buses and new routes of township
 - a) All except Item (i)
 - b) Item (ii) and (iii)
 - c) Item (iii) and (iv)
 - d) All of the above

2. Which of the following property cycle affects the latest supply of housing in Singapore ?
 - a) Boom
 - b) Downswing
 - c) Depression
 - d) Upswing